Client: Fourthline

Fourthline

Finding the sweet spot

How to strike the right balance between compliance and conversions.

INTRODUCTION

Striking the right balance between customer experience and a fully compliant onboarding process is an increasingly tough challenge for fintechs. Organizations focused on agile growth often seek to prioritize a seamless user journey that maximizes conversions while minimizing friction. Getting it right is difficult.

Onboarding customers while satisfying requirements for anti-money laundering (AML), fraud screening, data protection, and account authentication can be complex, expensive, and negatively impact the user experience. Inevitably, compliant processes add friction and detract from fintechs' ability to respond and adapt to market opportunities.

Customers care about security and privacy but also have high expectations regarding user experience. Is it possible to have it all?

At Fourthline, we have demonstrated experience that it is. In this Whitepaper, we outline the common challenges fintechs face when balancing compliance and conversions and our recommendations for finding the sweet spot.

Common challenges

There are many ways for fintechs to strengthen their compliance, but most methods are complex and lead to a variety of negative outcomes, such as:

- Slow onboarding leading to customer dissatisfaction
- Poor conversion rates leading to a lack of competitiveness
- Colossal compliance investments leading to business rigidity
- Strategic inflexibility slowing growth and scaling goals
- Risk exposure leading to fines and reputational damage

In this section, we've laid out **today's three most significant challenges** when balancing compliance and conversion.

CHALLENGE 1: Extreme regulatory complexity leading to fines and reputational damage

Identity verification is not a single event anymore; it's a journey from customer onboarding and authentication to account recovery. Know Your Customer (KYC) onboarding helps to prevent financial crimes and protect against fraud. Anti-Money Laundering (AML) and fraud screening are designed to detect and prevent financial crimes. Account authentication helps to ensure that only authorized individuals have access to customer accounts. Finally, re-KYC helps fintechs periodically verify their customers' identities to ensure that their information is up-to-date.

On top of KYC-AML-focused regulations, European fintechs must comply with EU regulations such as the Second Payment Services Directive (PSD2) and the General Data Protection Regulation (GDPR), among others.

For fintechs, balancing conversions and meeting all these regulatory requirements is a considerable challenge, as it is time-consuming, costly, and often requires extra resources and investment.

Additionally, in Europe, each country has defined specific rules. This situation creates immense regulatory fragmentation. It adds complexity for fintechs seeking to comply with the rules of several member states and usually ends up slowing down their European expansion

Lastly, governments and regulatory authorities are constantly updating and revising these regulations. Fintechs need to stay updated with these changes to avoid huge fines or reputational damage. However, as relatively new players in the financial services industry, they often don't have the same resources or knowledge to keep up with these changes.

CHALLENGE 2: Colossal compliance investments leading to strategic rigidity

Implementing a streamlined and efficient KYC process is one of the most critical steps in balancing conversions and compliance. This can be achieved using technology such as Ai-powered ID verification, which has proven to speed up the account opening process and drive conversions while ensuring compliance with regulations.

Implementing such technology requires a significant investment in IT, compliance, and legal expertise. This is a challenge for fintechs, particularly the ones with ambitious time-to-market and operational efficiency goals.

Moreover, balancing conversions and compliance in this area can also be challenging as **new technologies and standards constantly evolve and are costly to implement**. For example, a neobank may have to implement the latest security standards to comply with EU regulations and to secure customer data, which will lead to added costs, time, and effort.

Consequently, **such major investment impacts fintechs' flexibility.** Implementing a streamlined and efficient KYC process does require an organization to attribute a lot of resources to fraud prevention. Unless its financial and people resources are vast, this move can impact the organization's ability to rapidly change its strategy or adapt its risk appetite when necessary.

CHALLENGE 3: Poor conversion rates leading to a lack of competitiveness

High conversion and high growth ambitions trigger a lot of fraud. This is why European fintechs must balance the need to make their digital platforms user-friendly and easy to navigate with the need to ensure that the platforms are secure.

The challenge? Adding too many security measures can make the platform less user-friendly and deter potential customers. The more steps in a conversion funnel, the more opportunities customers have to drop off.

Fintechs must also set up a secure environment to protect customer data and funds. It's not just about identity fraud at onboarding. Making sure their customers' data and funds are protected can also add too many security measures, making the platform less user-friendly. At the same time, too few security measures can result in hefty fines and a loss of customer trust.

The most common misconception about introducing identity verification is that it increases hassle and reduces conversion. While too much friction is bad for your conversion rate, a well-designed user experience that is simple for customers to complete will not cause visible enough difficulty to discourage new customers. So, rather than being a must, if done correctly, KYC verification and account authentication may be used to deliver better service to your customers.

COMPLIANCE REQUIREMENTS

The continuing battle against financial crime is the main driver of regulation. Criminals constantly imagine new innovative methods of fraud and money laundering. Consequently, EU member states have to adapt their regulatory framework. European financial institutions have been challenged to strengthen customer identification processes and customer relationships across the whole lifecycle.

Throughout Europe, regulators require financial institutions to adopt robust procedures to identify customers, assess potential risks, and perform continuing risk monitoring.

This creates a compliance and operational burden that requires fintechs to put in place:

Proper identity verification
Financial institutions are under growing pressure to verify identities and ensure that customers are who they say they are.

Effective watchlist screening
Failure to check customers properly against lists of politically exposed persons, sanctions, and adverse media reports carries potentially significant penalties.

Strong fraud detection
Financial criminals are constantly developing new techniques, making it increasingly difficult to protect against fraud.

Comprehensive customer due diligence monitoring
The requirements above don't stop with onboarding. Financial institutions need to continue to monitor customers over time.

European governments and regulatory bodies have taken different approaches to how they want financial institutions to implement these compliant requirements. The following section focuses on Germany, France, and the United Kingdom to highlight the differences in approach from one country to another.

COMPLIANCE CHECKLIST

GERMANY

AML: Anti-Money Laundering Directive (GwG), EU AML Directives

Data protection: Federal Data Protection Act (BDSG), EU GDPR

Electronic payments: Payment Services Supervision Act (ZAG), EU PSD2

While AML rules in most of Europe are broadly based on the same EU directive, there are differences in how they are implemented. The German regulator in particular is more conservative than its counterparts in other European jurisdictions. As a result, video verification is the most commonly used KYC method.

Identification methods that meet national requirements in Germany include:

- In-person identification (Post Ident)
- Video verification (Video Ident)
- Electronic proof of identity (eID)
- Qualified electronic signature (validated through an electronic payment)

General KYC requirements include:

- Identify the customer
- Evaluate and monitor the nature of the business relationship
- Assess the customer's risk including establishing if the customer is a politically exposed person

FRANCE

AML: Monetary and Financial Code, EU AML Directives

Data protection: Act No 78-17, EU GDPR

Electronic payments: Law No 2000-230, EU PSD2

The French regulatory system prescribes a relatively limited list of approved forms of identitification that can be used for digital onboarding. While this approach is more flexible than the German system, it is still complex and less straightforward than the UK's regime.

According to the National Cybersecurity Agency of France (ANSSI), digital identity can be verified directly using:

- Electronic proof of identity (FranceConnect+, l'Identité Numérique)
- Providers certified by the ANSSI
- Software certified by ANSSI

Otherwise, identity can be verified by combining at least two of the following measures:

- Obtain a copy of an official identity document
- Verify and certify an official document through an independent third party
- Require first payment be made with an account opened in the client's name
- Confirm the customer's identity through an approved third party
- Use an ANSSI-compliant service to verify the identity
- Collect a qualified electronic signature

UNITED KINGDOM

AML: Proceeds of Crime Act 2002; The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017

Data protection: Data Protection Act, UK GDPR

Electronic payments: Payment Service Regulations

The Joint Money Laundering Steering Group indicates in their AML guidance that additional verification checks should be applied to manage the risk of impersonation fraud in case of non-face-to-face KYC, such as:

- Verify biometric data
- QES
- One cent transaction (UK or EU)
- Telephone contact
- Mail by post
- Internet sign on using security codes/tokens provided by mail to a verified address
- Certify copy of ID document

The UK regulator takes a risk-based approach to KYC, requiring that firms have sound processes in place, but there are no laws or rules that prescribe specific measures.

Broadly speaking, fintechs need to meet three basic KYC requirements:

- Identify the customer
- Verify the customer's identity
- Assess and monitor the nature of the business relationship

BEST PRACTICES

Few fintechs prioritize compliance early in their journey when the focus is usually on product development and growth. Even when they get around to thinking about it, too many see compliance as a box-ticking exercise and implement low-quality solutions that don't perform well.

Unfortunately, this approach leads to hefty fines, reputational damage, costly legal battles, and business closure.

To avoid such pitfalls, fintechs can implement the following three best practices:

Develop a compliance mindset early
While regulatory scrutiny may be lower in the early stages of a fintech's growth, good compliance practices will yield dividends as the business grows. It also helps you get ahead of the curve when compliance requirements intensify.

Focus on efficiency and flexibility
Implement solutions that can scale quickly in line with growth plans, have low up-front costs, and don't incur high expenses for unused capacity.

Harness automation, technology and outsourcing
Don't reinvent the wheel. Take advantage of solutions that address your operational needs, allowing you to deploy your resources where they can add the most value.

Fintechs that follow these principles have proved that an onboarding process can be efficient, seamless, and simple while meeting all regulatory requirements and preventing fraud.

What's the best way for fintechs to implement these best practices? Working with the right partner.

CHOOSING A PARTNER

The key to maximizing conversions is working with a provider who understands your needs. So what should you consider as a European fintech if you're looking for a compliance partner?

United
The specialist you choose should work with your teams as a true partner rather than a KYC provider. It should help you meet all your compliance needs at onboarding and across your clients' entire lifecycle. It should take care of your compliance so you can focus on your business.

Secure
Your partner should guarantee excellence in fraud prevention without compromising on conversion.

Scalable
You don't need to trade growth for compliance. Your partner should offer a dynamic solution that adapts to your specific needs as you grow in size and/or expand into new markets.

Ready-to-use
Partnering with a specialist that offers a single API that integrate seamlessly with your technology will ensure your business complies with all regulations without navigating multiple systems or providers. It also helps to reduce the time and cost associated with compliance.

Streamlined
Partnering with a specialist that offers a service designed with the customer in mind will ensure your organization provides the smoothest customer experience and better conversion rates.

At Fourthline, we have demonstrated experience that prioritizing these points helps European fintechs increase their growth and fraud prevention while strengthening resilience and flexibility.

Get in touch with our experts to learn more about our approach and what our partnership could do for you and your business.